

R.A. Castings Pvt. Limited v. PVVNL and Others

Allahabad High Court · Division Bench · 18 December 2018 · Writ - C No. 63058 of 2008 · **Writ allowed; letters dated 6.10.2008, 11.11.2008 and 21.11.2008 and the bill dated 31.10.2008 quashed; fresh bill to be issued treating additional security as not arrears**

HEADNOTE

Additional security demanded under Section 47 of the Electricity Act, 2003 is not 'dues' and is not arrears of electricity dues. UPERC tariff orders deny load-factor rebate only to a consumer with arrears. A licensee therefore cannot withdraw the rebate, or recast the monthly bill, by treating unpaid additional security as such arrears — including where that treatment rests on a letter of the Director (Licensing), UPERC. Following Mirzapur Electric Supply, Tehri Girders and K.L. Concast, the Division Bench held that additional security is a condition of supply, not money due; the consequence of not furnishing it is discontinuance of supply (or non-release of additional load), not classification as bill arrears. The letters dated 6.10.2008, 11.11.2008 and 21.11.2008 and the bill dated 31.10.2008 are quashed; a fresh bill is to be issued in the light of that holding. The Court did not decide whether Section 47(5) independently barred the security demand because the consumer had opted for a prepayment meter.

FACTUAL SUMMARY

R.A. Castings Pvt. Limited, a consumer of Paschimanchal Vidyut Vitran Nigam Limited after the 12 August 2003 transfer of distribution, had been allowed load-factor rebate under successive UPERC tariff orders (2003, 2004, 2007 and 2008). Those orders make a consumer with arrears ineligible for the rebate. By letters dated 6.10.2008, 11.11.2008 and 21.11.2008, and in the bill dated 31.10.2008, the licensee withdrew the rebate, treating unpaid additional security as arrears of electricity dues on a communication of the Director (Licensing), UPERC.

The petitioner had opted for a prepayment meter. In connected Writ Petition No. 42547 of 2008, a Division Bench on 20.8.2008 directed that no additional security would be payable till further orders and that supply would not be disconnected for non-deposit of additional security so long as current bills were paid. The petitioner said it was not in arrears of energy charges, and sought quashing of the three letters and the 31.10.2008 bill with restoration of the rebate.

HOLDING-UNITS

INTERPLAY · EA2003::47

Additional security under s.47 is not arrears of electricity dues; load-factor rebate cannot be withdrawn on that footing

QUESTION

Can a licensee treat unpaid additional security under Section 47 as arrears of electricity dues and, on that ground, withdraw load-factor rebate under the UPERC tariff orders?

HOLDING

No. The tariff orders deny the rebate only to a consumer with arrears. The respondents' own case was that the rebate had been disallowed because additional security was treated as arrears on a letter of the Director (Licensing), UPERC. Following Tehri Girders, Mirzapur Electric Supply and K.L. Concast, additional security does not fall within the definition of dues and cannot be termed arrears of electricity dues. It is a condition of supply, not money owed as a debt; the consequence of not giving it is discontinuance of supply, not recasting the amount as bill arrears. The petitioner therefore cannot be disallowed load-factor rebate. The letters dated 6.10.2008, 11.11.2008 and 21.11.2008 and the bill dated 31.10.2008 are quashed. A fresh bill is to be issued strictly in the light of that holding. ¶ [unnumbered](#)

QUALIFIER

The Court did not decide whether Section 47(5) independently barred the additional-security demand, nor the quantum of the rebate in the fresh bill.

FLAG Source PDF concatenates listing orders of 23.9.2011, 17.10.2011, 2.11.2011, 17.11.2011, 20.11.2018 and 29.11.2018 with the reserved 18.12.2018 judgment (delivered by B. Amit Sthalekar, J.), which is unnumbered. Clauses 6.1 and 6.1(g) of the Supply

Code, 2005 were recited (billing/arrears and bill particulars) but not independently construed. Ratio is the s.47 characterisation of additional security, applied to the tariff arrears-bar on load-factor rebate.

PRINCIPLE TAGS

security-deposit-is-advance-payment-not-debt

Additional security under s.47 is not dues and is not arrears of electricity dues. A licensee cannot treat it as arrears so as to withdraw load-factor rebate under the tariff condition that a consumer with arrears is ineligible. Same characterisation as SCJ-252 (Tehri Girders) and the coordinate holding in K.L. Concast (Writ-C 7764 of 2011). Lead authorities: *Tehri Girders Limited v. Paschimanchal Vidyut Vitran Nigam Limited*, *The Mirzapur Electric Supply Company Limited v. State of U.P.*, *M/s K.L. Concast Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ [unnumbered](#)

additional-security

Unpaid additional security cannot be classified as electricity arrears for the purpose of denying load-factor rebate, even if a UPERC Director (Licensing) letter so treats it. Lead authorities: *M/s K.L. Concast Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ [unnumbered](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER SECTION 47(5) INDEPENDENTLY BARRED THE ADDITIONAL-SECURITY DEMAND BECAUSE THE PETITIONER HAD OPTED FOR A PREPAYMENT METER, AND WHETHER A PREPAID METER HAD TO BE INSTALLED

Recited from the petitioner's case and the 20.8.2008 interim order in W.P. No. 42547 of 2008. The rebate question was decided on the characterisation of additional security as not arrears, not on the prepaid-meter exemption. ¶ [unnumbered](#)

NOT DECIDED — QUANTUM OF THE LOAD-FACTOR REBATE AND THE FIGURES IN THE FRESH BILL

Left to a fresh electricity bill to be issued strictly in the light of the holding. ¶ [unnumbered](#)

NOT DECIDED — WHETHER THE 31.10.2008 BILL INDEPENDENTLY FAILED CLAUSE 6.1(G) FOR WANT OF PRESCRIBED PARTICULARS

Clauses 6.1 and 6.1(g) were quoted in the petitioner's narrative; the Court did not rest the quashing on bill-particulars non-compliance. ¶ [unnumbered](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>The Mirzapur Electric Supply Company Limited v. The State of U.P. and others</i> AIR 1975 All 29 Allahabad High Court (Division Bench)	Security demanded as a condition of supply is not 'dues' owed as a debt and cannot be recovered as arrears of land revenue under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958; the consumer may decline to pay and take the consequence of discontinuance of supply.	Cited by the petitioner (para 19 quoted) and applied with Tehri Girders and K.L. Concast as the law on which the Court held additional security is not dues or arrears.	Court	Followed
<i>Tehri Girders Limited and others v. Paschimanchal Vidyut Vitran Nigam Limited and others</i> 2009 (77) ALR 669 Allahabad High Court (Division Bench)	Failure to give additional security does not amount to arrears; additional security cannot be treated as dues recoverable from the consumer (referred to with approval of Mirzapur Electric Supply).	Relied on by the petitioner; the Court held on a conspectus of Tehri Girders, Mirzapur and K.L. Concast that additional security is not dues or arrears. Recited as Civil Misc. Writ Petition No. 38 of 2009, decided 15.10.2009 in the quoted K.L. Concast passage.	Court	Followed
<i>M/s K.L. Concast Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. and others</i> Writ-C No. 7764 of 2011, decided 24.2.2011 Allahabad High Court (Division Bench)	Additional security, being a condition for supply / load-factor rebate, cannot be held as money due or categorised as arrears; the licensee cannot on that footing deny load-factor rebate.	Quoted at length as covering an identical additional-security-as-arrears question; followed. This Court had no reason to take a different view.	Court	Followed
<i>Ferro Alloys Corporation Ltd. v. A.P. State Electricity Board and</i>	The true nature of the security transaction is an advance payment of charges for consumption estimated	Appears only inside the quoted K.L. Concast passage, which this	Court	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>another</i> 1993 Supp (4) SCC 136 Supreme Court	for about three months, to be made good and kept at the stipulated level; the consumer may permit adjustment of the advance.	Court adopted; not independently discussed.		

SCJ-697 · R.A. Castings Pvt. Limited v. PVVNL and Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.